Sebastian Ernst

London School of Economics

Department of Economics
London School of Economics and Political Science
Houghton Street, London WC2A 2AE

EMAIL s.y.ernst@lse.ac.uk
WEB seb-ernst.github.io

GRADUATE STUDIES

London School of Economics and Political Science
MRes/PhD in Economics — 2021–present

RESEARCH FIELDS

Public Economics (primary)
Industrial Organization, Labor Economics (secondary)

REFERENCES

Johannes Spinnewijn
London School of Economics
j.spinnewijn@lse.ac.uk

Camille Landais
London School of Economics
c.landais@lse.ac.uk

Kate Smith
London School of Economics
k.e.smith2@lse.ac.uk

Andreas I. Mueller
University of Zurich
andreas.mueller@econ.uzh.ch

PRIOR EDUCATION

London School of Economics and Political Science
MSc in Econometrics and Mathematical Economics, *Distinction* — 2019–2020

Technische Universität Berlin
BSc in Industrial Engineering and Management — 2016–2019

JOB MARKET PAPER

Caring What It Costs: Subsidy Design in Child Care

Abstract: Child care subsidies can generate large positive externalities by promoting human capital development. An important and understudied feature of their design is the extent to which recipients are shielded from price differences. Such shielding can generate social gains by encouraging the use of higher-quality care, but may also raise equilibrium prices when providers have market power. Using administrative data and quasi-experimental variation from the United States, I show that reducing recipients' exposure to price differences shifts them toward providers with higher prices and higher quality ratings. In a novel application of bunching methods, I then estimate that providers charge 15 percent more when subsidy recipients are fully shielded from price differences than when they are fully exposed to them. To evaluate policy alternatives, I estimate a structural model of child care demand and supply. I compare a benchmark policy based on federal guidelines, which substantially reduces recipients' exposure to price differences, with an equally costly alternative that preserves this exposure. The benchmark policy shifts more subsidized children into high-quality care, but reduces both overall child care use and consumer surplus for subsidized and unsubsidized families. Finally, when quality is observable, I find that quality-dependent subsidies are more efficient than price-dependent subsidies across a wide range of policy specifications.

WORKING PAPERS

At-Risk or Responsive? Targeting in Unemployment Policy
with Andreas I. Mueller, Johannes Spinnewijn and Joost Bollens

Abstract: This paper evaluates the use of algorithmic risk profiling to direct job search support toward individuals most at risk of long-term unemployment. Using three regression discontinuity designs and rich administrative data from the Flemish Public Employment Service (VDAB) in Belgium, we address two key dimensions: whom and when to target. First, job search counseling raises employment on average, but treatment effects decline sharply with predicted risk. This reveals a fundamental trade-off between targeting those most at risk and those most responsive to intervention. Second, we find no evidence that treatment effects depreciate at the individual level, but strong dynamic selection: as spells

lengthen, surviving job seekers have both higher baseline risk and lower treatment responsiveness, with opposing implications for the returns to treatment. We develop and calibrate a conceptual framework for optimal targeting that highlights the key role of the ratio of predicted treatment effects to predicted job-finding probabilities. Targeting rules combining both objects substantially outperform the status quo, yielding welfare gains nearly three times as large as those from random assignment, while targeting on risk scores alone performs worse than random assignment.

WORK IN PROGRESS

Hiring Subsidies for Older Job Seekers: Evidence from Belgium
with Joost Bollens

Abstract: Older job seekers face a heightened risk of long-term unemployment. Can targeted hiring subsidies improve their employment prospects? We study a Belgian subsidy that reduces employer social security contributions for hiring unemployed workers aged 55 or older. Using administrative data on all unemployment spells in Flanders, Belgium and a regression discontinuity design at the eligibility threshold, we find that the subsidy increases the probability of employment after three months by approximately 5 percentage points, with no detectable indirect effects on ineligible job seekers. These findings suggest that targeted hiring subsidies can improve older workers' reemployment prospects without large adverse effects on the unsubsidized population.

The Effects of Housing Subsidies on Rental Prices

Abstract: Housing subsidies are an important tool for expanding access to an essential good, but may also raise rents for tenants who receive no assistance. Using rental listing data from New York City, I document bunching in the distribution of advertised rents. To interpret the evidence, I develop a theoretical model of pricing under imperfect competition in which landlords face capacity constraints. The model shows that targeted subsidies can have particularly adverse effects on unsubsidized tenants when those constraints bind. The findings highlight the importance of price spillovers when assessing the incidence of housing assistance and designing targeted subsidies.

PUBLICATIONS

Risk Scores for Long-Term Unemployment and the Assignment to Job Search Counseling (with Andreas I. Mueller and Johannes Spinnewijn), *AEA Papers and Proceedings*, 2024.

Abstract: This paper analyzes how risk profiling is used to assign unemployed job seekers to job search counseling in Flanders, Belgium. We compare algorithmic selection to self-selection and selection by job search counselors. We discuss practical challenges for the implementation of risk profiling and highlight avenues for further research. We find that algorithmic assignment is used for only a small fraction of the sample and that job search counselors appear to have valuable private information on job seekers' reemployment prospects beyond what is captured by the algorithmic risk score.

TEACHING

London School of Economics and Political Science, Graduate Teaching Assistant

EC325 Public Economics	2024–26
EC400 Probability & Statistics	2023, 2024, 2025
EC2C1 Econometrics II	2023–24
EC1C1 Econometrics I	2023
EC2C3 Econometrics I	2022

Technische Universität Berlin, Undergraduate Teaching Assistant

Introduction to Macroeconomics	2018–19

RELEVANT POSITIONS

Research Assistant, STICERD, LSE, for Johannes Spinnewijn, Camille Landais and Daniel Reck — 2020–2021

SCHOLARSHIPS

LSE Economics Department Scholarship — 2021–2026

PROFESSIONAL ACTIVITIES	Organizer, LSE Public Economics Seminars	2024–2025
	Organizer, LSE Economics Department Football Group	2023–2025
SKILLS	Stata, R, Python, LaTeX	
CITIZENSHIP AND RESIDENCY	Australian, German and US citizen, UK settled status	
LANGUAGES	English (native), German (fluent), Spanish (basic)	